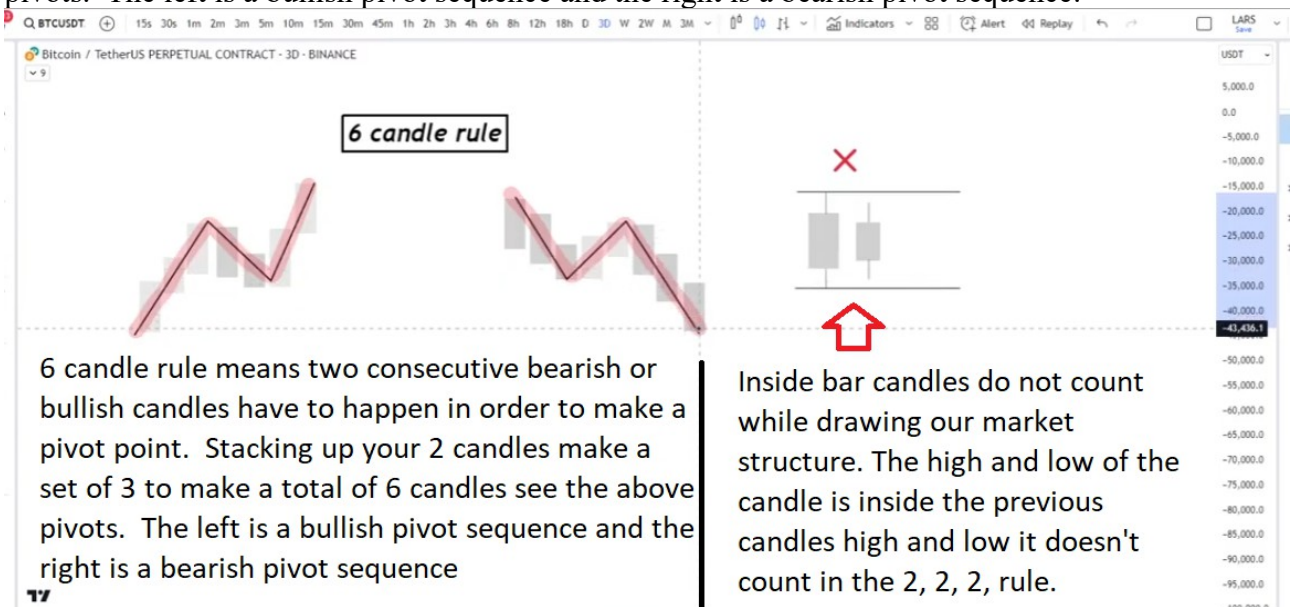
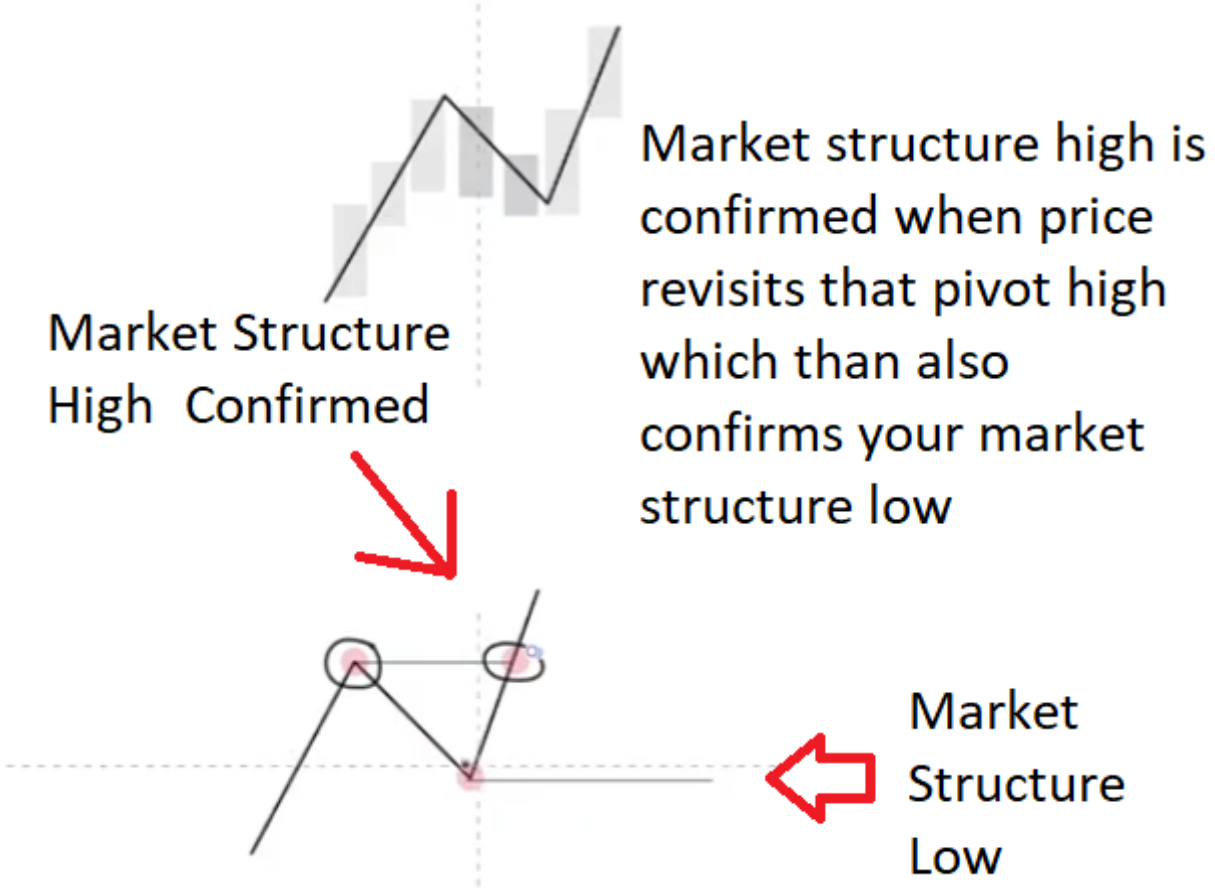
TCT mentorship – Lecture 1 | Market Structure

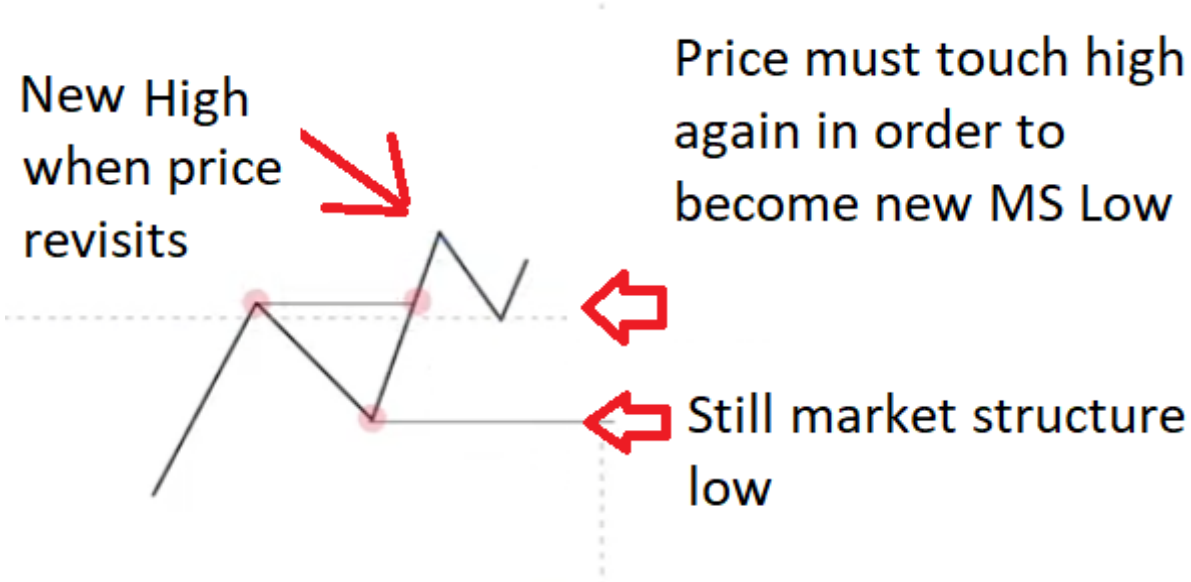
We use market structure to build context which is key to this model of trading. Lets start with the concept of how markets move. They either move up or down so we arrive at pivot points. The TCT model rule for finding valid market structure is using pivot points using the 6 candle rule. The 6 candle rule means two consecutive bearish or bullish candles have to happen in order to make a pivot point. Stacking up your 2 candles make a set of 3 to make a total of 6 candles see the above pivots. The left is a bullish pivot sequence and the right is a bearish pivot sequence:



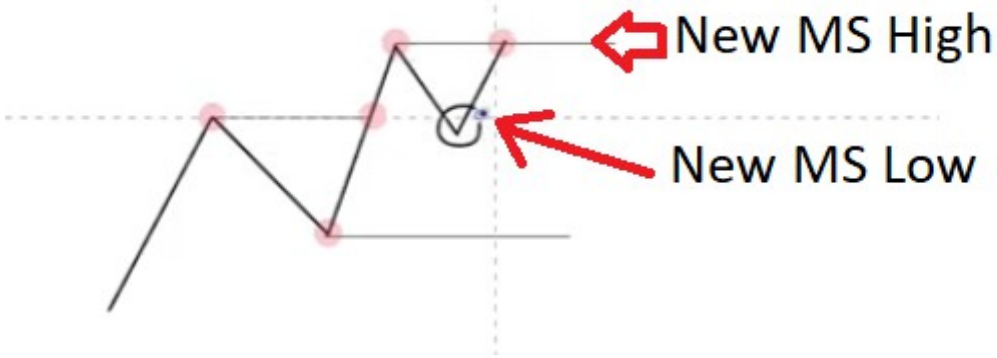
The inside bar candles(a candle thats high and low are inside the previous bars high and low) do not count when drawing our market structure. Meaning a inside candle that follows a 2, 2, 2 rule to make the 6 candle rule valid.



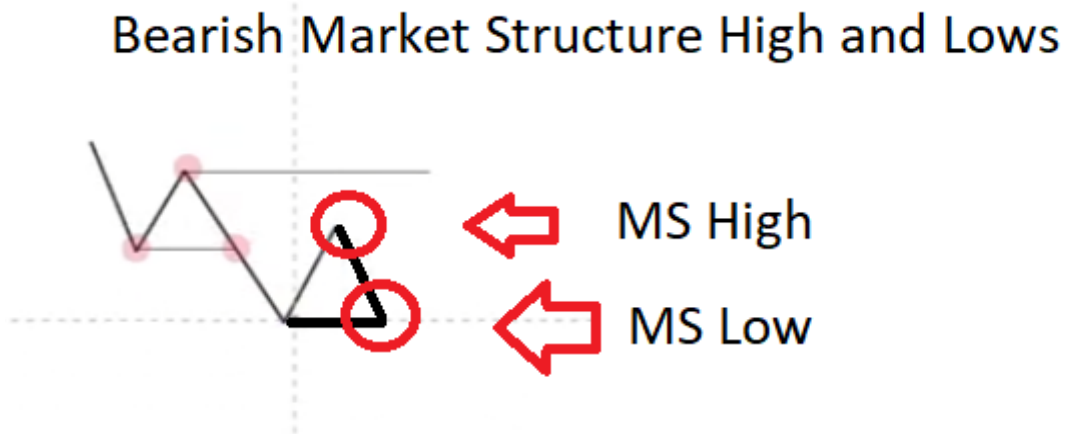
Next we look for the next market structure high and confirm it when price revisits that high, and at the same time you get your new market structure low:



So when we get our new market structure high and low it will look like this:



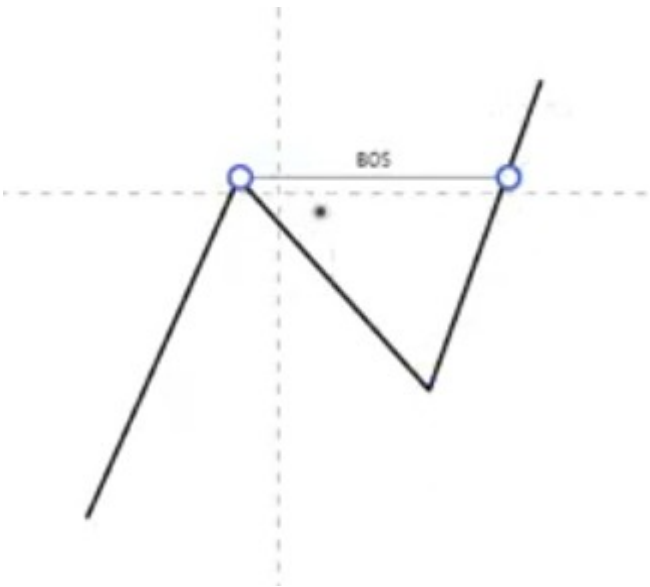
Bearish Market Structure High and Lows. Our market structure high can only be confirmed when we touch our market structure low again:



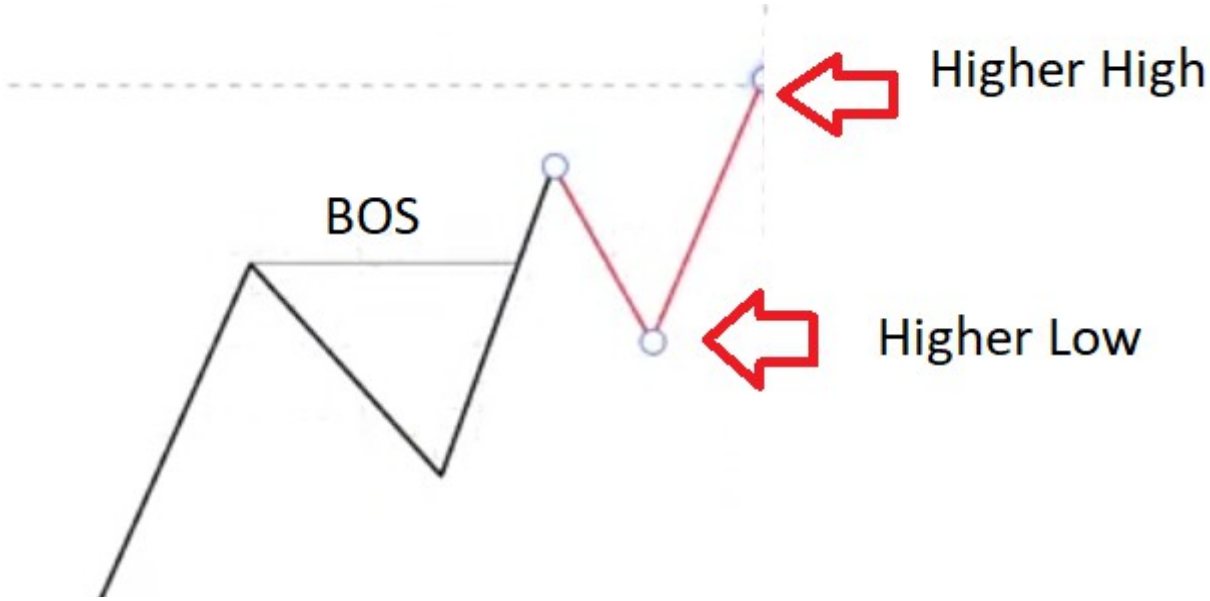
So the market structure high is the highest point price went to in between the time our low was being created and our low being touched again.
Obviously these above drawings of the market structure pivots points are all following the 6 candle rule. The 6 candle rule is always applied when drawing structure.

So now we know how to draw our market structure with the 6 candle rule and we also know how to find our market structure low and market structure high.
Break of Structure or BOS – Is simply when price has a closing price above our market structure high. The moment when price has a closing price above our market structure high that is when we can call it a BOS.

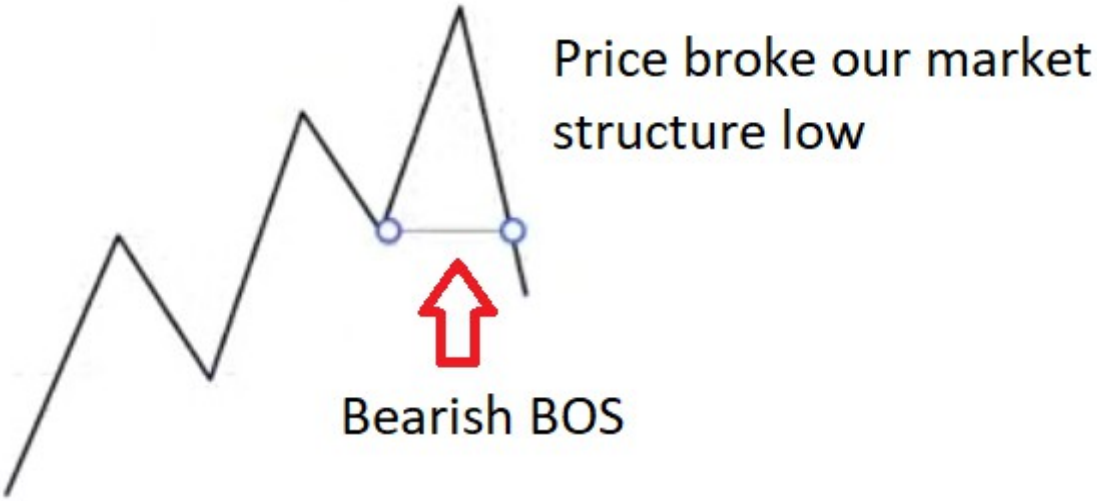
and when price is trending up like we can see right here:



and we are breaking our market structure high; expectational order flow will be a higher low for a higher high and expectational order flow is a very fancy way of saying "what do you think price will do next".



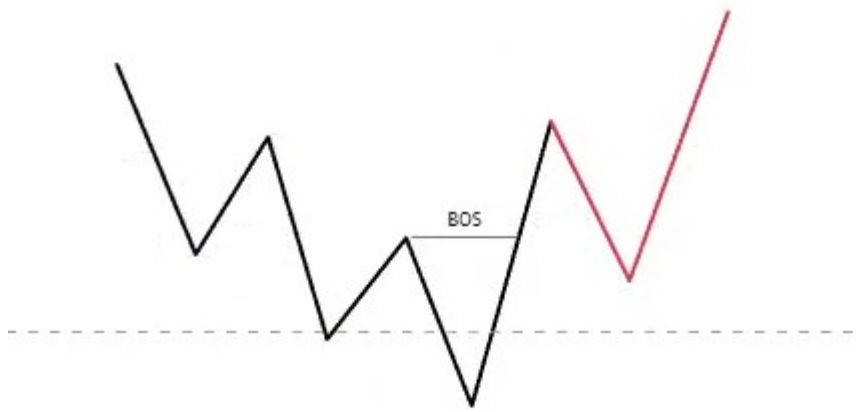
So when we are breaking structure and having higher lows and higher highs we can expect price to continue this effect. However when we are trending up and we break our market structure low right here:



and this indicates a shift in trend and now expectational order flow becomes a lower low for a lower high. When we are trending down and we have a Bearish BOS expectational order flow is still a lower low for a lower high:

If we are trending down and price has a BOS on our most recent high than expectational order flow would be a higher low for a higher high:

Which indicates a shift in trend:



Here is an example of actual drawing on BTCUSDT 3 Day time frame Bullish BOS instances:

Here is an example of a Bullish Trend on the 3D timeframe being shifted to Bearish Trend:

Moving forward on the same 3D BTCUSDT we get a retest of the previous market structure low and it returned a SFP:

Next we have an example of what looks like valid structure but is not:

Here is why:
Valid Bullish Structure:
L → H → HL → HH ✅

Invalid (your example):
L → H → HL → small BOS but no HH ❌

This may look like valid structure on a lower time frame too. Here is where we found the valid market structure because it has a higher high and lower low after the Bullish BOS: